

**UNITED STATES SECURITIES AND EXCHANGE COMMISSION
PHILADELPHIA REGIONAL OFFICE**

701 Market Street, Suite 2000, Philadelphia, PA 19106

April 20, 2011

Mr. Alistair Penhaligon
Managing Member
Marchwood Asset Management LLC
1717 Walnut Street, Suite 2200
Philadelphia, PA 19103

Re: Marchwood Asset Management LLC (SEC File No. 801-64719) — Examination No. 2011-0447

Dear Mr. Penhaligon:

The staff of the Philadelphia Regional Office recently completed an examination of Marchwood Asset Management LLC (“Marchwood” or “the Adviser”) under Section 204 of the Investment Advisers Act of 1940 (“the Advisers Act”). The examination covered the period January 1, 2009 through December 31, 2010. Fieldwork was conducted at the Adviser’s office from February 28 through March 11, 2011.

The examination identified the deficiencies described below. **Please respond in writing within 30 days of the date of this letter describing the corrective action Marchwood has taken or will take with respect to each item.**

Item 1 — Annual review of compliance policies and procedures (Rule 206(4)-7)

Marchwood did not document an annual review of the adequacy of its compliance policies and procedures for calendar year 2009. The review for calendar year 2010 consists of a two-page memorandum that identifies no testing performed, no deficiencies found and no remediation.

Item 2 — Code of ethics reporting (Rule 204A-1)

Quarterly securities transaction reports were not obtained from four of the Adviser’s eleven access persons for six of the eight quarters in the examination period. The Adviser’s code of ethics reporting log does not identify the missing reports.

Item 3 — Advertising: presentation of composite performance (Rule 206(4)-1)

A marketing document distributed during the examination period presents the Adviser’s balanced composite net of fees in one exhibit and gross of fees in another, without disclosing the difference in treatment or the effect of fees on the gross figures.

Item 4 — Custody of client funds (Rule 206(4)-2)

Section 6(c) of Marchwood’s standard investment advisory agreement authorizes the Adviser to instruct the client’s custodian to withdraw or transfer funds or securities from the client’s account, including but not limited to the Adviser’s advisory fees. Marchwood transmits the instruction to the custodian; the custodian executes it without separate client authorization. That arrangement is in force for 214 client accounts holding approximately \$198 million.

Rule 206(4)-2(d)(2)(ii) under the Advisers Act defines custody to include any arrangement under which an adviser is authorized or permitted to withdraw client funds or securities maintained with a custodian upon the adviser’s instruction to the custodian. The staff’s position is that Section 6(c) is such an arrangement and that Marchwood therefore had custody of client funds throughout the examination period.

The amendments to Rule 206(4)-2 that became effective March 12, 2010 require an adviser with custody to be subject to an annual surprise examination by an independent public accountant under paragraph (a)(4), and require the accountant to file a certificate on Form ADV-E within 120 days of the time chosen by the accountant for the examination.

The exception in Rule 206(4)-2(b)(3) relieves an adviser of paragraph (a)(4) only where the adviser has custody solely as a consequence of its authority to make withdrawals from client accounts to pay its advisory fee. Because Section 6(c) is not limited to advisory fees, the staff’s position is that the exception is not available to Marchwood.

The staff found that:

1. Marchwood did not obtain a surprise examination for calendar year 2010;
2. Marchwood has not engaged an independent public accountant to perform a surprise examination for calendar year 2011;
3. no Form ADV-E has been filed on Marchwood’s behalf; and
4. Marchwood answered “No” to Items 9.A.(1)(a) and 9.A.(1)(b) of Part 1 of Form ADV in each annual amendment filed during the examination period.

Marchwood’s compliance policies and procedures contain no procedure addressing custody.

Item 5 — Advertising: partial client list (Rule 206(4)-1)

A pitch book distributed during the examination period contains a partial list of the Adviser’s clients selected by account size, without disclosure of the selection criteria.

Item 6 — Books and records: electronic communications (Rule 204-2)

The Adviser retained no electronic communications for the period January 1, 2009 through March 31, 2010. The Adviser changed archiving vendors in March 2010 and did not retrieve the prior vendor’s data before the contract terminated.

The above findings are based on the staff’s examination and are not findings or conclusions of the Commission.

Please direct your response and any questions to Desmond Whitlatch, Senior Examiner, at the address above.

Very truly yours,

Rosalind Achterberg

Branch Chief

Investment Adviser / Investment Company Examinations

Philadelphia Regional Office

cc: M. Vasseur-Kyle, Chief Compliance Officer, Marchwood Asset Management LLC